
Case	Title / Nature of Case
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2:00 PM

Line 1

25-CIV-01251	DEBBY PADILLA VS JOHNSON HOSPITALITY LLC
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DEBBY PADILLA
JOHNSON HOSPITALITY LLC

MATTHEW A HAULK
KARTIKEY PRADHAN

Plaintiff's Motion for an Order Approving Settlement of Claims Brought Pursuant to the Private Attorneys General Act of 2004

TENTATIVE RULING:

Plaintiff Debby Padilla's ("Plaintiff") Motion for Approval of PAGA Settlement is DENIED, without prejudice.

This is a class and representative action alleging violations of the California Labor Code and discrimination and harassment under the Fair Employment and Housing Act. (First Amended Complaint, filed April 22, 2025, ¶¶ 1-2.)

According to the motion, it is estimated that there are approximately 487 aggrieved employees who worked 8,711 pay periods. The proposed settlement amount is \$35,000. The settlement will provide a payment of \$8,157.50 to the California Labor and Workforce Development Agency (i.e., 65% of the \$12,550 Net Settlement Amount). The remaining \$4,392.50 shall be distributed amongst the aggrieved employees.

In ruling on PAGA settlements, this Court has a duty to independently determine whether a settlement is fair, reasonable and adequate. (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76 77, disapproved of on other grounds by *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 66 ["trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws."]); *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129 ["The court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement.']; *In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.)

The Court has identified several issues which preclude granting approval of the settlement at this time. The parties shall address the Court's concerns and refile their motion.

The Court notes as an initial matter that the Memorandum of Points and Authorities in support of the motion ("MPA") refers throughout to "Haulk Decl.," but no such declaration was filed in support of the motion.

Although named plaintiffs who bring PAGA representative actions are not subject to the same requirements as named plaintiffs in traditional class actions, they must still demonstrate to the Court that they have adequately served the class. See, e.g., *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110, 1134:

It is important to note that where plaintiffs bring a PAGA representative claim, they take on a special responsibility to their fellow aggrieved workers who are effectively bound by any judgment. See *Iskanian*, 59 Cal.4th at 381, 173 Cal.Rptr.3d 289, 327 P.3d 129 (“When a government agency is authorized to bring an action on behalf of an individual or in the public interest, and a private person lacks an independent legal right to bring the action, a person who is not a party but who is represented by the agency is bound by the judgment as through the person were a party”). Such a plaintiff also owes responsibility to the public at large; they act, as the statute's name suggests, as a private attorney general, and 75% of the penalties go to the LWDA “for enforcement of labor laws ... and for education of employers and employees about their rights and responsibilities under this code.” Cal. Lab. Code § 2699(i). This duty imposed upon the PAGA representative is especially significant given that PAGA does not require class action procedures, such as notice and opt-out rights.

Plaintiff is to submit a declaration as to her understanding and compliance with her duties as class representative.

Plaintiff's Counsel estimate PAGA Penalties as \$871,000 based on 8,711 pay periods and \$100 per violation. (MPA, p. 7:20-24.) However, Plaintiff's PAGA claim in the FAC was based on six underlying Labor Code violations: unpaid regular wages and overtime (1st c/a), failure to provide meal periods (2nd c/a), failure to provide rest periods (3rd c/a), failure to provide accurate wage statements (4th c/a), failure to reimburse business expenses (5th c/a), and waiting-time penalties for nonpayment of wages (6th c/a). (See FAC, ¶¶ 29-49, 70-72.) Plaintiff's attorney Jose M. Herrera provides information as to Defendants' defenses to the claims for meal and rest periods, unreimbursed business expenses, and wage statement violations in his declaration; but does not state that these claims were completely discounted, and if so, why. Plaintiff's Counsel shall explain how damages were calculated, addressing all claims and stating explicitly if certain claims were entirely discounted and the reasons for the discount. Plaintiff shall also discuss the deterrent effect of the Settlement if any.

Plaintiff's Counsel requests \$10,500 in fees, or 30% of the settlement amount. Plaintiff and Plaintiff's Counsel argue that a lodestar cross-check confirms the reasonableness of the fees, but they fail to provide sufficient information for the lodestar cross-check.

“Courts often cross-check fee awards using both methods: i.e., a lodestar approach as compared to a percentage of the common fund approach. [*In re Consumer Privacy Cases* (2009) 175 CA4th 545, 557, 96 CR3d 127, 136; *Laffitte v. Robert Half Int'l Inc.* (2016) 1 C5th 480, 504, 205 CR3d 555, 574—lodestar cross-check provides a mechanism for bringing objective measure of the work performed into the calculation of reasonable attorney fee; *In re Apple Inc. Device Performance Litig.* (9th Cir. 2022) 50 F4th 769, 784—although cross-check is discretionary, federal courts are

encouraged to cross-check fee awards using both methods, particularly when using percentage-of-recovery method]. In cross-checking, courts are not required to scrutinize hours as closely as in a traditional lodestar calculation, but may use ‘counsel declarations summarizing overall time spent, rather than demanding and scrutinizing daily time sheets in which the work performed was broken down by individual task.’ [*Laffitte v. Robert Half Int’l Inc.*, *supra*, 1 C5th at 505, 205 CR3d at 574].” (Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (Rutter, June 2026 Update), at ¶ 14:145.2a, emphasis added.)

Plaintiff states that Plaintiff’s Counsel worked 28.3 hours, resulting in a lodestar of \$21,425. (MPA, p. 9:19-20, 10:21-23.) Plaintiff states that Mr. Herrera billed 24.8 hours and Matthew A. Haulk billed 3.5 hours. (Id. at p. 9:23-10:2.) However, in the summary chart of hours and requested hourly rates provided in the MPA and in Mr. Herrera’s declaration, Mr. Herrera’s hours are reported as 3.5 and Mr. Haulk’s are reported as 24.8. Plaintiff shall clarify which attorney billed which hours.

Mr. Herrera provides evidence of court approval of his rate of \$650 for work done in 2024 in Sonoma County, Marin County, San Francisco County, and Los Angeles County. (Herrera Dec., ¶ 21(a)-(d).) He then states that his rate is now between \$750/hour and \$850/hour “based upon my practice area, geographic market, experience, including all of the above information, reputation, and generally accepted hourly rates.” (Id. at ¶ 21(e).) This is conclusory and does not support his requested rate of \$750/hour. Mr. Herrera then repeats details regarding his own experience and states that his regular rate is \$800-\$850/hour. (Id. at ¶ 22.) This appears to have been written in mistake. Plaintiff’s Counsel shall correct this, clarify which attorney seeks which rate, and provide authority supporting each attorney’s currently-requested rate.

The Court finds that the release in the Settlement Agreement is overbroad and unclear. The release states:

Upon entry of the Final Order, Plaintiff, all PAGA Settling Employees, and the State of California shall be deemed to have fully, finally, and forever waived, released, relinquished, and discharged Defendant and each and all of the Released Parties from any and all PAGA Claims as defined herein that arose or may be alleged to have arisen at any time from February 13, 2024, up to and including the Effective Date. Specifically, in exchange for the payments described above, Plaintiff, on behalf of herself, the State of California, and the PAGA Settling Employees, will release Defendants from liability for any and all claims for civil penalties related to alleged Labor Code violations that may be brought under the PAGA based on alleged violations of the Labor Code in Plaintiff’s Complaint. To extent an alleged PAGA violation arises directly from the operative facts pled in the Complaint and implicates the same primary rights and defenses being settled here, those claims are settled and released to the fullest extent permitted under applicable law.

(Settlement, ¶ IV(A).) “PAGA Claims” are defined as “claims for PAGA penalties that arose or may be alleged to have arisen at any time from February 13, 2024 up to and including the Effective Date (the date of approval of the Parties’ Joint Stipulation Requesting Approval of PAGA Settlement of claims arising from alleged violations of the following Labor Code sections as set forth in the Complaint).” (Id. at I(O).) The Effective Date as defined in the parenthetical differs from the

Effective Date as defined elsewhere in the Settlement. (See id. at ¶ I(H).)

The first sentence of the release and the defined “PAGA Claims” are overbroad because they do not limit claims to those raised in the operative complaint. Although the release goes on to clarify, the release could still be interpreted to waive more rights than are appropriate to release through the Settlement. The Court notes that the release as defined in the Proposed Order differs from the release as written in the Settlement. The parties shall modify the release to only cover PAGA claims that were alleged or that reasonably could have been alleged based on the facts in the operative complaint and PAGA notice.

The Proposed Order states that the administrator will mail individual settlement payments within 14 days of the Settlement being funded, but the Settlement does not reflect this. The parties shall amend the Settlement to reflect this provision.

The Proposed Notice (or “Explanatory Letter” as referred to by the parties) should include Defendant NVI Rani, Inc.’s “doing business as” name, i.e. “Fairfield Inn and Suites San Francisco Pacifica.” (See FAC, ¶ 1.)

Plaintiff requests appointment of ILYM Group, Inc. (“ILYM”) as settlement administrator. Plaintiff shall submit a declaration from ILYM describing its experience and qualifications to serve as administrator.

Accordingly, this motion is DENIED, without prejudice. The Court intends to reserve March 19, 2027 at 2:00 p.m. as the hearing date for Plaintiff’s refiled motion to correct all of the issues identified above.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court’s signature a written order consistent with the Court’s ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part “prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling” (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.
